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## 3 Billion +

**THE CURRENT  
VACCINE  
PRODUCTION  
CAPACITY OF  
SERUM INSTITUTE**



## 2 Billion

**DOSES OF COVISHIELD  
SERUM INSTITUTE  
DELIVERED TO THE  
INDIAN GOVERNMENT**

**THE YEAR WAS** 2021. The world had gone through a whole year of the Covid-19 pandemic. Lockdowns and social distancing had been implemented by governments to check the lightning speed of the virus' transmission.

It was then, even before the most devastating waves of Covid killed millions, that Serum Institute of India (SII), the world's largest vaccine manufacturer by volume, decided to take a bet on an untested vaccine developed by researchers at Oxford and pharmaceutical giant AstraZeneca.

It was a risky decision since clinical trials had been completed in record time; too quickly, some argued. "We put \$800 million of our own money into it," SII's Chief Executive Officer Adar Poonawalla said at the time.

The bet paid off, and how. At its peak, SII produced about 200 million doses of the Covishield vaccine a month, or roughly enough to vaccinate the entire population of the UK thrice over. India became a shining example of a successful vaccine rollout, so much so that the Economic Survey of 2022-23 said 90% of the eligible population had been vaccinated by January 2023.

The Poonawallas became the toast of India, with Cyrus Poonawalla, the Chairman of SII, being awarded the Padma Bhushan, the third-highest civilian honour in India, in 2022.

And it wasn't just the accolades. Business boomed. From ₹5,446 crore just before the full spread of the pandemic in FY20, revenue jumped to ₹7,201 crore the next year and zoomed to ₹25,645 crore a year later as SII delivered a record number of vaccines for the Indian government's Covid vaccination programme. Profits too kept pace. From ₹2,251 crore in FY20, they

rose to ₹11,116 crore in FY22. As a result, privately held SII became the most valuable unlisted company in India, leading to repeated calls to go public.

That's all in the past now. Two years after those heady days, domestic demand for the Covid vaccine—which had made Poonawalla the face of the pandemic response across the world—has disappeared. SII's profits have plunged as a result. In FY24, SII's revenue fell to ₹9,549 and profits fell to ₹4,278 crore. To be sure, these numbers are still better than what was reported before the pandemic.

But the steep fall has 44-year-old Poonawalla racing to diversify—from launching a slew of new vaccines, including one for cervical cancer, to eyeing high-value global markets and even venturing into finance and film production.

"Covid-19 was a windfall for many companies, including those in diagnostics, pharma, and vaccines. Naturally, after 2023, companies like ours would see a decline in profits as the pandemic was a unique event. What we are doing to maintain profitability is returning to business as usual," says Poonawalla, smiling calmly.

### SHIFTING SANDS

Established in 1966 by Cyrus Poonawalla at Pune, SII began by producing products such as tetanus antitoxin, snake antivenom, and vaccines for diseases like diphtheria, pertussis, tetanus (DPT), and measles, mumps, and rubella (MMR). Today, it is the world's largest vaccine manufacturer by volume, producing nearly 1.9 billion doses annually, and a total production capacity of more than three billion doses annually.

That capacity came in handy during the pandemic. As per industry